

THE STARTING DEFINITION

What Is an Impact?

Before severity, likelihood or materiality can be assessed, this dossier needs one precise, sourced definition of “impact” — and a clear boundary against the financial-materiality territory Dossier 1 already covers.

This dossier is about impacts on people and the environment — not about effects on a company's own financial position. That boundary has to be drawn before anything else, because “impact” gets used loosely in everyday ESG conversation to mean almost anything a company's activity touches.

ESRS REQUIREMENT ESRS 1 builds its impact-materiality limb around the undertaking's actual and potential impacts on people and the environment, connected with its own operations and its upstream and downstream value chain.

GRI REQUIREMENT GRI defines impact as the effect an organization has or could have on the economy, environment and people — including on their human rights — as a result of its activities or business relationships. GRI 1 and GRI 3 share this definition across the Universal Standards.

WHAT DOSSIER 1 COVERS

“Does this issue affect the undertaking's own cash flows, enterprise value, or cost of capital?”

WHAT THIS DOSSIER COVERS

“Does this issue affect people or the environment — for their own sake, regardless of any financial consequence to the undertaking?”

Impacts can be positive or negative, actual (already occurred) or potential (could occur), and can arise from an undertaking's own operations or through its business relationships across the value chain — distinctions Page 2 develops in full.

WHY THIS BOUNDARY MATTERS

An impact does not need to cost the company anything to be material.

A severe, irreversible harm to a remote community can be fully material under the impact-materiality test even where no plausible mechanism connects it to the undertaking's own revenue, cost, or valuation. Page 14 builds the formal double-materiality architecture that holds both tests open at once, independently.

WHAT THIS DOSSIER DOES NOT RE-TEACH

DCF, WACC, enterprise value, and financial-materiality scoring mechanics belong to Dossier 1 and are not repeated here. Where financial materiality must be named for architectural completeness — Page 14 only — it appears in one sentence, not re-derived.

THE ROUTE THIS DOSSIER TAKES

01–05
Understanding
What is the impact, how severe, how likely

06–10
Contextualizing
When, where, connection, value chain, who

11–15
Building
Evidence, identification, scoring, double materiality, defensibility

16–19
Testing
Frameworks, matrices, standards, real failures

20
Synthesis
A complete operating architecture

FOUR WAYS AN IMPACT CAN BE CLASSIFIED

What Are We Actually Assessing?

Every impact sits on two independent axes — actual or potential, positive or negative — and each of the four resulting combinations is assessed by a different test.

Actual · Negative Has already occurred. Significance determined by severity alone — scale, scope, irremediable character (Page 4).	Potential · Negative Could occur but has not yet. Significance determined by severity and likelihood together (Page 5).	Actual · Positive A positive contribution already realized. Significance determined by scale and scope.	Potential · Positive A positive contribution that could be realized. Significance determined by scale, scope and likelihood.
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GRI REQUIREMENT

ESRS 1 §3.4 applies the equivalent severity/likelihood split to negative impacts.

ESRS REQUIREMENT

GRI 3 states this asymmetry directly: actual negative impacts are graded on severity alone; potential negative impacts add likelihood. Positive impacts follow the mirrored logic on scale and scope.

“Actual” and “potential” are not synonyms for “certain” and “uncertain.” An actual impact is one that has already happened — however small the chance it happens again.

A SECOND, INDEPENDENT DIMENSION: CONNECTION

Beyond actual/potential and positive/negative, an impact can also arise from the undertaking's **own operations** or through its **business relationships** across the upstream and downstream value chain. This is a distinct axis from severity and likelihood — it answers *where* the impact sits, not *how bad* it is. Pages 7–9 build this dimension in full; it is not developed further here.

Every impact this dossier discusses from Page 3 onward therefore carries at least three coordinates before any materiality judgement is made: its actual/potential status, its positive/negative direction, and (once Part II is reached) its location in the value chain. Skipping any one of the three risks misapplying the severity-alone versus severity-plus-likelihood test this page has just established.

WHY THE DISTINCTION IS NOT COSMETIC

Collapsing “potential” into “unlikely, therefore minor” is a common analytical error. A potential impact can be extremely severe and still be potential — a catastrophic accident that has not yet happened is a potential impact of the highest possible severity, not a low-significance one.

A PRACTICAL CONSEQUENCE

Two undertakings facing the identical underlying risk can reach different, equally correct, classifications if one has already experienced an incident (actual) and the other has not (potential) — the severity test may still land in the same place, but through a different assessment path.

KEY TAKEAWAY

Classify an impact on all relevant axes before judging it — actual/potential, positive/negative, and (Pages 7–9) where in the value chain it sits. Skipping straight to a severity score without this classification step risks applying the wrong test.

THE THRESHOLD TEST

When Does an Impact Become Material?

ESRS 1 sets a specific, sourced threshold — not a general impression of “importance.”

ESRS REQUIREMENT ESRS 1, §3.4 (¶43): a sustainability matter is material from an impact perspective when it pertains to the undertaking's material actual or potential positive or negative impacts on people or the environment.

This is a two-step test in practice. First, does the matter connect to an actual or potential impact at all (Page 2's classification)? Second, does that impact clear the severity/likelihood bar that makes it *material* rather than merely *present*? Most sustainability matters an undertaking touches will fail the second step — presence is common, materiality is not.

ESRS REQUIREMENT ¶45 splits the test by impact type: for **actual negative impacts**, materiality is determined by severity. For **potential negative impacts**, materiality is determined by a combination of severity and likelihood.

Severity, not sympathy, is the operative test.

ESRS REQUIREMENT A specific carve-out applies to human rights: for potential negative human-rights impacts, severity takes precedence over likelihood — a severe potential human-rights impact cannot be reasoned away as immaterial purely because it is judged unlikely. **GRI REQUIREMENT** GRI 3 (p. 13) states the identical rule independently.

EFRAG GUIDANCE EFRAG's IG 1 implementation guidance corroborates the same reading.

WHAT SEVERITY AND LIKELIHOOD ACTUALLY ARE

Both terms are given precise, sourced content — not left to intuition. Severity is unpacked into three characteristics on Page 4. Likelihood, and its interaction with severity for potential impacts, is unpacked on Page 5.

NOT A RE-RUN OF DOSSIER 1

Nothing in this test asks whether the impact costs the undertaking money. That question belongs to the financial-materiality limb, held separate until Page 14.

ONE TEST, TWO IMPACT TYPES

The severity-only / severity-plus-likelihood split is the single most load-bearing distinction in this Part — it recurs on Pages 4, 5, 12 and 13.

WHERE THIS LEADS NEXT

Page 4
Severity, unpacked
Scale, scope, irremediable character

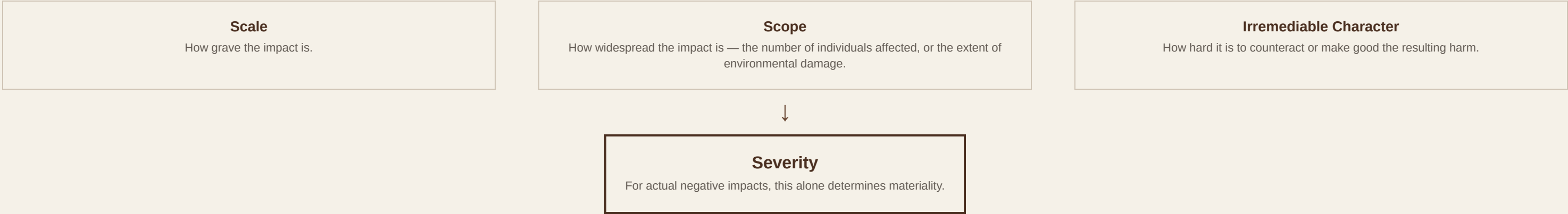
Page 5
Likelihood, unpacked
Qualitative and quantitative treatment

Page 14
Double materiality
Where the financial-materiality limb re-enters

UNPACKING THE FIRST CRITERION

Severity — Scale, Scope, Irremediability

Three independent characteristics, any one of which alone can make an impact severe.



GRI REQUIREMENT GRI 3 (p. 12) gives this exact definitional language and adds the load-bearing rule: “Any of the three characteristics (scale, scope, and irremediable character) can make an impact severe.” A severity conclusion does not require all three to be extreme — one alone is sufficient. **ESRS REQUIREMENT** ESRS 1 Application Requirement AR 10 sets out the equivalent scale/scope/irremediable-character content behind ¶45's severity test.

GRI REQUIREMENT GRI 3 also requires severity to be judged *in relation to the undertaking's other impacts* — not against a global baseline. Comparing a company's own emissions to global emissions, for example, can produce the misleading conclusion that they are not significant; the correct comparison point is the undertaking's own impact universe.

ORIGIN OF THE TAXONOMY

UNGP PRINCIPLE The scale / scope / irremediable-character taxonomy originates in the UN Guiding Principles on Business and Human Rights and the OHCHR Interpretive Guide. **ESRS REQUIREMENT** ESRS 1 and **GRI REQUIREMENT** GRI 3 both adopt it, independently corroborating the same three-part structure.

KEY TAKEAWAY

Severity is not one number — it is three independent tests, and failing (or passing) on any single one is enough to decide the outcome.

UNPACKING THE SECOND CRITERION

Likelihood and the Special Treatment of Potential Impacts

For a potential impact, severity alone is not the test — likelihood joins it, with one deliberate exception.



- GRI REQUIREMENT

GRI 3 (p. 13): “The likelihood of a potential negative impact refers to the chance of the impact happening. The likelihood of an impact can be measured or determined qualitatively or quantitatively” — describable “using general terms (e.g., very likely, likely) or mathematically using probability (e.g., 10 in 100, 10%).”
- ESRS REQUIREMENT

¶51 of ESRS 1 applies the equivalent combined severity/likelihood logic.

Neither framework requires quantification. A credible, qualitative account of likelihood (“highly likely, given a documented pattern of prior near-misses”) can be fully sufficient — this connects forward to Page 11's evidence-quality discussion without repeating it.

THE EXCEPTION: HUMAN RIGHTS

Already established on Page 3, not re-derived here: for potential negative human-rights impacts, severity takes precedence over likelihood. A severe potential human-rights impact is not permitted to be discounted to immateriality purely on grounds of low probability.

POSITIVE POTENTIAL IMPACTS

Mirrored logic applies: scale and scope, plus likelihood, determine the significance of a potential positive impact (Page 2).

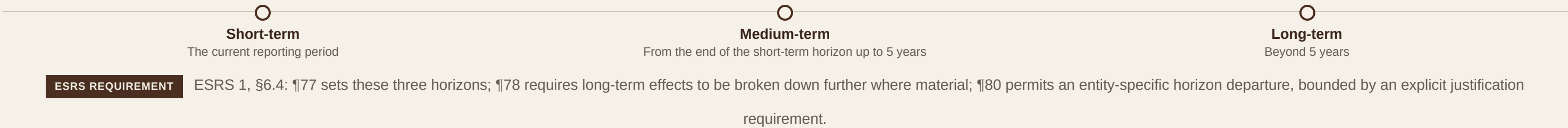
A potential impact of catastrophic severity does not become immaterial merely because it is judged unlikely — except where likelihood evidence is itself strong enough to change the picture entirely.

Pages 1–5 established what an impact is, how it is classified, and the two-part severity/likelihood test that determines whether it is material. Part II now asks where, when and to whom this tested impact actually applies.

THE TIME DIMENSION

When Does Time Matter?

ESRS fixes three time horizons for the entire materiality assessment — and the same horizons govern both impact and financial materiality.



ONE CLOCK, TWO DIMENSIONS

EFRAG's Q&A Platform confirms that these same three horizons govern both the impact-materiality and financial-materiality assessments — an undertaking does not run two separate time frameworks. This is a structural convergence point between the two limbs of double materiality, well before Page 14's formal architecture.

Time interacts with severity and likelihood rather than replacing them: a potential impact expected only in the long term is not automatically less material — an irremediable long-horizon impact (e.g., cumulative, slow-onset environmental degradation) can still register as severe under Page 4's irremediable-character test.

WHY AN ENTITY CAN DEPART FROM THE DEFAULT HORIZONS

¶80's departure is not unconditional — it requires the undertaking to justify why its own business cycle or risk profile warrants a different boundary, and to disclose that departure rather than silently redefining “long-term.”

A WORKED ILLUSTRATION

A biodiversity impact expected to fully manifest only in year eight sits in the long-term horizon by default (¶77). Under the severity test (Page 4), its irremediable character — not its distance in time — is what can still make it severe today: a slow-onset, hard-to-reverse impact does not get a lower severity score merely because it has not yet fully arrived.

KEY TAKEAWAY

Time horizon is a shared coordinate system for both materiality perspectives — not a separate clock impact materiality runs on its own, and not a discount applied to severity.

THE LOCATION DIMENSION

Where in the Business Does the Impact Exist?

ESRS draws its boundary around the undertaking's own operations plus its upstream and downstream value chain — not around the legal entity alone.

Upstream Value Chain

Suppliers, raw materials, sourcing



Own Operations

The undertaking itself



Downstream Value Chain

Distribution, use, end-of-life

All three segments fall within scope wherever an impact is “connected with” the undertaking — the specific meaning of “connected with” is Page 8's subject, not repeated here.

ESRS REQUIREMENT

ESRS 1 frames impact materiality around impacts connected with the undertaking's own

operations and its upstream and downstream value chain, without confining the assessment to the reporting entity's own four walls. This value-chain-wide boundary is deliberate: an impact does not stop mattering because it occurs at a supplier several tiers removed, or after a product has left the undertaking's control.

This boundary interacts directly with Page 9's visibility problem: the further from the undertaking's own operations an impact sits, the less direct evidence the undertaking typically holds about it — a limitation on *evidence*, not a limitation on *scope*.

NOT A LEGAL-ENTITY TEST

This is a value-chain boundary, not a corporate-group consolidation boundary. An impact can be in scope through a business relationship with an entity the undertaking does not own or control — a supplier's factory, a distributor's warehouse, a customer's use of a sold product.

THREE SEGMENTS, ONE TEST

Own operations, upstream, and downstream are not assessed under three different materiality tests — the same severity/likelihood criteria from Pages 3–5 apply throughout. What changes across the three segments is not the test, but the evidence available to apply it, which is Page 9's subject.

KEY TAKEAWAY

The relevant boundary is the value chain, not the balance sheet — own operations, upstream, and downstream are all in scope, and all under the same materiality test.

THE CAUSAL DIMENSION

How Is the Company Connected to the Impact?

Two different vocabularies exist for the same underlying question — and this dossier keeps them separate rather than merging them.

Cause The undertaking's own activities, on their own, result in the impact.	Contribute The undertaking's activities lead, facilitate, or incentivize another entity to cause the impact.	Directly Linked Operations, products or services are linked to the impact via a business relationship, without the undertaking causing or contributing to it.
UNGP PRINCIPLE This cause / contribute / directly-linked taxonomy originates in the UN Guiding Principles on Business and Human Rights.	OECD GUIDANCE The OECD Due Diligence Guidance for Responsible Business Conduct independently confirms the same three-part structure.	GRI REQUIREMENT GRI 3 (Box 3, pp. 10–11) adopts it directly, using this exact language.

WHERE ESRS 1 DIFFERS, PRECISELY

ESRS REQUIREMENT

ESRS 1's own text uses a broader, undifferentiated term — “connected with” — rather than adopting the UNGP/OECD three-way cause/contribute/directly-linked split as its own operative vocabulary. This is a genuine terminological difference between frameworks, not a dossier simplification: an undertaking applying ESRS 1 is not required to classify every impact into one of the three UNGP categories to determine impact materiality, even though that taxonomy remains useful analytical language for understanding *how* a given connection arises.

Connection ≠ legal liability.

This taxonomy answers a materiality-assessment question — how is the undertaking connected to an impact for reporting purposes — not a legal-liability question. The two should not be conflated: an undertaking can be “directly linked” to a severe impact for materiality purposes without that connection implying legal fault.

WHY THIS STAYS UNGP/OECD/GRI VOCABULARY HERE

Using cause/contribute/directly-linked language to describe an ESRS 1 impact remains analytically useful, but it must be labelled as UNGP/OECD/GRI terminology when used — not silently presented as ESRS 1's own operative test.

KEY TAKEAWAY

Cause, contribute, and directly linked are UNGP/OECD/GRI vocabulary; ESRS 1 itself asks only whether the impact is “connected with” the undertaking — a broader, less differentiated test.

THE VISIBILITY PROBLEM

How Far Does the Value Chain Extend?

The undertaking's scope of responsibility (Page 7) is broader than the data it can typically see — a gap ESRS addresses with a specific evidentiary standard, not a scope reduction.

As the value chain extends further from the undertaking's own operations, direct visibility into what is actually happening — at a third-tier supplier, for instance — typically decreases. ESRS does not respond to this by shrinking the assessment boundary; it responds by defining what evidence is acceptable when primary data is unavailable.

EFRAG GUIDANCE

EFRAG's IG 2 (Value Chain Implementation Guidance), ¶6, introduces the standard of “reasonable and supportable information” — information reasonably available without undue cost or effort — as the acceptable substitute for primary data, referencing ESRS 1 Application Requirement AR 17. Proxy data, sector-average estimates, and credible third-party sources can all satisfy this standard where an undertaking genuinely cannot obtain primary, entity-specific data.

Lack of primary data does not automatically mean lack of materiality.

A worked illustration: an undertaking cannot survey every end user of a sold product, but can estimate downstream use-phase impacts from industry-average consumption factors, published sector studies, or comparable third-party datasets. That estimate is not a lesser-quality substitute tolerated only in the absence of anything better — it is itself the standard the framework asks for once primary, entity-specific data is genuinely unavailable.

WHAT THIS IS NOT

“Reasonable and supportable information” is not a license to guess, and not a reason to exclude a value-chain segment from assessment merely because data collection would be difficult. It is a standard for *how* to estimate responsibly, not a threshold for *whether* to look.

CONNECTS FORWARD TO PAGE 11

This is the value-chain-specific application of the broader evidence-quality question Page 11 develops for the assessment as a whole.

EVIDENCE GAP

EVIDENCE GAP

EFRAG IG 2 also references ESRS 2 §5(c), ESRS 2 BP-1, and Commission Recommendation (EU) 2021/2279 alongside AR 17; only AR 17 was independently verified in this dossier's own research.

KEY TAKEAWAY

Visibility decreases with value-chain distance; the assessment boundary does not shrink to match — it is met instead with a defined standard for acceptable estimation.

THE HUMAN (AND NON-HUMAN) DIMENSION

Who Is Actually Affected?

ESRS distinguishes two user groups that are easy to conflate — and adds a category for stakeholders who cannot speak for themselves.

AFFECTED STAKEHOLDERS

People or groups whose interests are affected, or could be affected, by the undertaking's impacts — workers, communities, consumers, and others on the receiving end of the impact itself.

ESRS REQUIREMENT ESRS 1, ¶¶22–23.

STAKEHOLDER ENGAGEMENT AS EVIDENCE

Consulting affected stakeholders directly is a required input to identifying and assessing impacts (developed further on Page 11 as an evidence source, not repeated here). Engagement quality — whether barriers to participation are removed, whether vulnerable groups are specifically reached — affects how much weight that evidence can bear.

VULNERABLE AND MARGINALIZED GROUPS

Groups facing heightened vulnerability — due to factors such as poverty, discrimination, or lack of institutional voice — may experience a given impact more severely than the general population, or may be structurally less able to make that severity visible through ordinary engagement channels.

USERS OF SUSTAINABILITY STATEMENTS

The readers of the disclosure — investors, civil society, analysts — who may overlap with affected stakeholders but are functionally a distinct category defined by their relationship to the *report*, not to the *impact*.

ESRS REQUIREMENT ESRS 1, ¶¶22–23.

“SILENT STAKEHOLDERS”

EFRAG GUIDANCE EFRAG's IG 1, ¶108, uses this term for nature and the environment itself — represented in the assessment not through direct dialogue, but through scientific evidence and NGO or expert proxies. This is EFRAG-specific, non-binding language, not an ESRS-defined term.

PART II — CLOSING

Pages 6–10 placed the tested impact in time, in the value chain, in a causal relationship to the undertaking, and in relation to who is affected. Part III now asks how all of this is actually turned into a defensible assessment.

CONFIDENCE, NOT A NEW CRITERION

What Evidence Do We Need?

Evidence quality is not a fourth dimension of severity — it determines how much confidence the assessment built on Pages 3–5 deserves.

EFRAG GUIDANCE

EFRAG's IG 1 (§28) states the materiality assessment should be based upon supportable evidence and rely, to the maximum extent possible, on objective information. Neither ESRS nor EFRAG constructs a ranked evidence hierarchy — no rule that primary evidence formally outranks secondary, or that stakeholder testimony outranks scientific data.

EFRAG GUIDANCE

IG 1 names stakeholder engagement (§87) and scientific research (§109) as key evidence sources, and permits established scientific consensus to justify a conclusion without further in-depth analysis (§86).

GRI REQUIREMENT

GRI 3 (p. 9) independently lists a comparable, non-hierarchical evidence basket: impact assessments, grievance mechanisms, legal and compliance reviews, audits, inspections, enterprise risk data, and external sources including news and civil-society reporting.

Qualitative evidence can be fully sufficient on its own — a credible, documented account of a severe harm does not require a supporting frequency statistic. Quantitative evidence becomes necessary mainly where a conclusion turns on a scale/scope comparison that cannot be judged narratively.

WHAT EVIDENCE QUALITY IS NOT

Evidence quality ≠ a materiality criterion.

It governs confidence, substantiation, and defensibility (developed fully on Page 15) — not whether the underlying impact is severe or likely.

EVIDENCE GAP, STATED PLAINLY

EVIDENCE GAP

No authoritative source specifies a formal procedure for resolving conflicting evidence or treating evidence as stale. This dossier states that gap rather than inventing a resolution procedure.

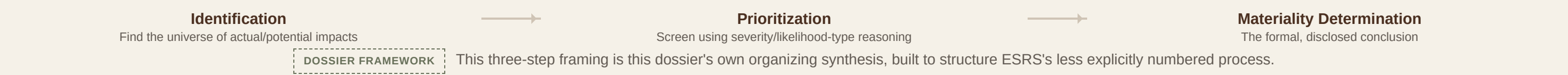
KEY TAKEAWAY

A basket of legitimate evidence types, weighed by professional judgement and documented — not a ranked hierarchy, and not itself a severity or likelihood criterion.

THREE STEPS, NOT ONE

How Do We Identify and Prioritize Impacts?

Identification, prioritization, and materiality determination are conceptually and procedurally distinct steps — collapsing them is the most common process error.



ESRS REQUIREMENT ESRS 2's disclosure requirement IRO-1 requires the process description to explain whether the process focuses on activities, business relationships or geographies carrying heightened risk, and to describe how it identifies, assesses, prioritises and monitors impacts — including consultation with affected stakeholders and external experts, and the qualitative or quantitative thresholds applied.

GRI REQUIREMENT GRI 3 sets out an explicit four-step sequence: understand context → identify actual and potential impacts → assess the significance of impacts → prioritize the most significant impacts for reporting. GRI's own “prioritize” step specifically means setting the reporting cut-off after significance has already been assessed — a narrower use of the word than this dossier's general “prioritization” stage.

GRI REQUIREMENT GRI 3 (p. 13): “The organization should arrange its impacts from most to least significant and define a cut-off point or threshold... Where to set the threshold is up to the organization.” And: “the significance of an impact is the sole criterion” — difficulty of reporting is explicitly excluded as a valid reason to omit a topic.

A GENUINE METHOD DIFFERENCE

GRI's model is closer to forced-rank-then-cut-off across the whole impact universe; ESRS's binding text is closer to threshold-testing each candidate impact individually against ¶45's criteria. Neither framework is reduced to the other.

EVIDENCE GAP

EVIDENCE GAP No source specifies a technique for controlling the size of the initial “long list” of candidate impacts.

KEY TAKEAWAY

Identifying that an impact exists is not the same act as prioritizing it for further work, which is not the same act as concluding it is material.

VERIFIED, NOT ASSUMED

How Do Scoring Systems and Thresholds Work?

ESRS does not prescribe a universal scoring system — confirmed directly by EFRAG's own non-binding guidance, the strongest available evidence for a negative claim.

Scoring Converts judgement into a structured, comparable representation.	Threshold The rule converting a graded assessment into disclose / do-not-disclose.	Aggregation Combining impacts, subsidiaries, or geographies into one figure.	Calibration Consistency across assessors — not a named ESRS/EFRAG step.
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EFrag Guidance

IG 1, ¶113: “ESRS 1 does not prescribe how to set thresholds.” ¶27: the undertaking sets thresholds using ESRS 1's own criteria plus its specific facts and circumstances. Where IG 1 shows a matrix (¶¶120, 123), it states explicitly the visualisation “serves only as illustration of a possible approach” and colour-coding “is to be determined by each undertaking.” No 1–5 scale, matrix design, or traffic-light system is mandated.

Academic Finding

Cox (*Risk Analysis*, 2008) documents that risk matrices exhibit poor resolution — correctly distinguishing fewer than 10% of randomly selected hazard pairs — and can misrank risks when frequency and severity are negatively correlated. Thomas, Bratvold & Bickel (*SPE Economics & Management*, 2014) independently show matrix rankings are design-dependent: changing the scale can change the answer. Ordinal category labels lack the mathematical properties multiplication requires.

THRESHOLD FORM: QUALITATIVE, QUANTITATIVE, OR BOTH

EFrag Guidance

IG 1, ¶134: thresholds may rely on qualitative factors and ranges (high/medium/low) as much as quantitative ones — materiality is not confined to quantitative aspects. ¶132 separately permits monetary thresholds, absolute or relative to revenue, cost, assets or equity, though that framing sits closer to the financial-materiality limb and is not elaborated further here.

A numerical-looking score is not automatically an objective one.

Illustration only, not an ESRS example: Severity 4.2 × Likelihood 3.7 = 15.54 — two decimal places of apparent precision built on entirely subjective inputs.

LEGITIMATE USE

Matrices remain defensible as communication and screening tools where probability or severity resist precise estimation — not as the sole basis for a rigorous conclusion. Qualitative assessment alone can be fully sufficient (Page 5).

THE “SCORE CHASING” RISK

Dossier Framework

Because thresholds and scoring inputs are left to undertaking discretion, a structural risk exists: setting inputs in whatever way avoids crossing one's own threshold. No source names this risk directly — it follows from the discretion IG 1 itself grants.

KEY TAKEAWAY

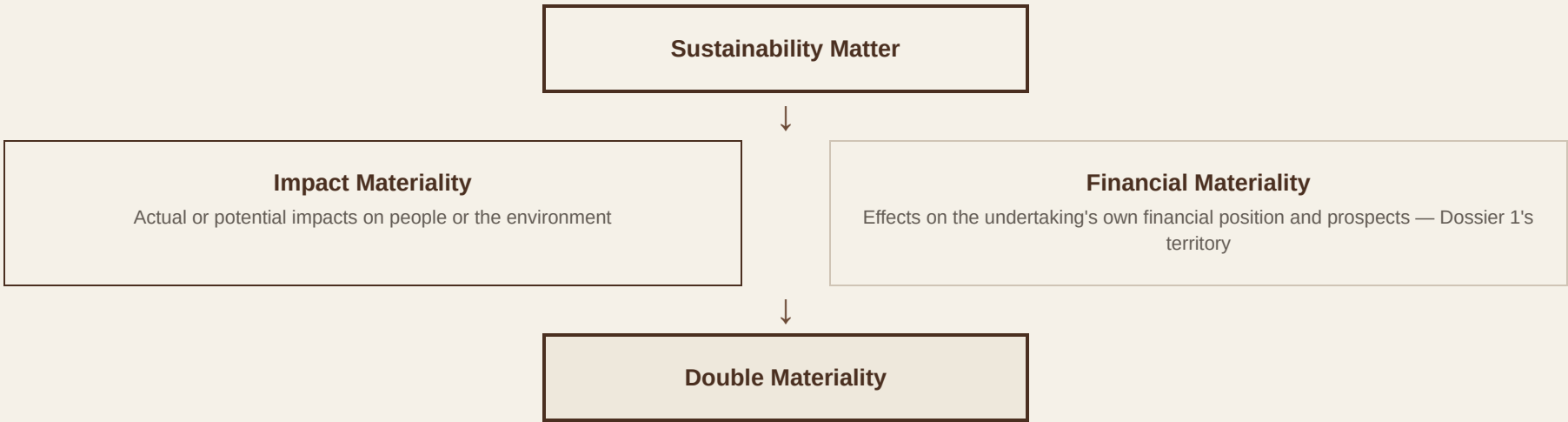
No 1–5 scale, matrix, or numerical threshold is ESRS-mandated. A company can use one; ESRS does not require it.

Sources: [EFRAG IG 1, ¶¶27, 113, 120, 123](#) · Cox (2008), *Risk Analysis* 28(2) · Thomas, Bratvold & Bickel (2014), *SPE Economics & Management*

THE FIRST PAGE ALLOWED TO SAY “FINANCIAL”

How Does Impact Materiality Fit Into Double Materiality?

Two independently defined, formally distinct tests — connected by an inclusive “or,” never merged into one score.



Structural diagram consistent with the sourced text below; not a reproduction of an official EFRAG figure.

DOSSIER FRAMEWORK

ESRS REQUIREMENT ESRS 1, ¶37: “Double materiality has two dimensions namely: impact materiality and financial materiality.” ¶43: impact materiality, as established Page 3. ¶49: a matter is material from a financial perspective if it triggers or could reasonably be expected to trigger material financial effects on the undertaking — stated here only to complete the architecture, not elaborated (Dossier 1's territory).

ESRS REQUIREMENT ¶28: a matter is material when it meets the criteria for impact materiality *or* financial materiality *or both* — an inclusive, not exclusive, test. ¶38: the two dimensions are inter-related and their interdependencies shall be considered — a instruction to consider the relationship, not to merge the two into a single score.

Double materiality is not one combined score.

EVIDENCE GAP The phrase “overarching principle,” sometimes used to describe double materiality, was not located verbatim in the ESRS 1 text itself in this research and should be treated as characterization, not quotation.

KEY TAKEAWAY

A matter can be material from the impact perspective only, the financial perspective only, both, or neither — each perspective keeps its own criteria.

Source: ESRS 1, ¶¶28, 37, 38, 43, 49

How Do We Make the Assessment Defensible?

ESRS 2 binds a surprising amount of “good practice” into an actual disclosure requirement — the rest remains professional judgement, and this dossier keeps the two visibly separate.

ESRS REQUIREMENT ESRS 2, Disclosure Requirement IRO-1 (¶53) requires disclosure of: methodology and assumptions (a); the identification/assessment/prioritisation process including stakeholder consultation and thresholds used (b); how risk/opportunity likelihood and magnitude are assessed (c); the decision-making process and internal controls (d); input parameters and data sources (g); and whether and how the process changed versus the prior period (h).

ESRS REQUIREMENT ¶22(d) requires disclosure of how governance bodies oversee target-setting tied to material impacts. **GRI REQUIREMENT** GRI 3 (p. 8) requires the organization's highest governance body to oversee the process and approve material topics.

ASSURANCE GUIDANCE CEAOB's limited-assurance guidelines require the assurance practitioner to test whether the disclosed process is consistent with the process actually implemented, and whether it meets ESRS's own prescriptions — testing the process, not re-performing every individual judgement from scratch.

AGGREGATION CAN CREATE MATERIALITY, NOT ONLY HIDE IT

EFRAG GUIDANCE IG 1, ¶127: aggregated impacts across subsidiaries, immaterial in isolation, can become material in aggregate. **ESRS REQUIREMENT**

¶56: aggregation must not obscure the specificity and context needed to interpret the information. ¶54 requires disaggregation by country or significant site where impacts are highly location-dependent.

LABELLED SYNTHESIS

DOSSIER FRAMEWORK The “audit trail” concept — evidence → identified impact → criteria → judgement → threshold → disclosure — is this dossier's own organizing synthesis of ¶53's requirements, not an official ESRS flowchart.

Pages 11–15 built the assessment itself: evidence, identification and prioritization, scoring discipline, the double-materiality architecture, and the documentation that makes a conclusion defensible. Part IV now tests this apparatus against other frameworks, against visualization tools, and against reality.

TWO ROOT QUESTIONS

How Do Different Materiality Frameworks Think?

Before Page 18's formal standards comparison: the same fact pattern can pass one framework's test and fail another's, because each asks a genuinely different question.

GRI'S ROOT QUESTION

What are the organization's most significant impacts on the economy, environment and people?

GRI REQUIREMENT

GRI 1 states this determination is independent of financial consequence:

sustainability reporting “is independent of the consideration of financial implications,” and material topics “cannot be deprioritized on the basis of not being considered financially material.”

ISSB/IFRS'S ROOT QUESTION

Could this reasonably be expected to influence a primary user's decision?

ISSB/IFRS STANDARD

Primary users are defined narrowly: “existing and potential investors, lenders and other creditors” (IFRS S1, Appendix A) — assessed against cash flows, access to finance, cost of capital, and prospects.

ISSB does not ignore impact — it treats impact instrumentally, as evidence of financial consequence, not as a standalone test.

ISSB/IFRS STANDARD

The IFRS Foundation's own educational material states this directly: ISSB Standards require

disclosure of how an entity's activities impact people and the environment *only when* those impacts give rise to risks or opportunities that could reasonably be expected to affect the entity's prospects. GRI inverts this: impacts matter because they matter to the people and environment affected, independent of financial consequence.

ESRS REQUIREMENT

ESRS holds both tests open at once, per ¶128's inclusive “or...or both” (Page 14) — not a merger of

GRI's and ISSB's questions, but two independently-applied tests inside one disclosure architecture.

WHY THIS IS NOT SIMPLY “GRI + ISSB”

DOSSIER FRAMEWORK

A matter can pass GRI's test and fail ISSB's entirely — a severe, remote-community impact with no plausible financial consequence. Under ESRS, it remains material via the impact-materiality limb alone. Page 18 develops this fully.

KEY TAKEAWAY

Frameworks can look at the same phenomenon and ask different questions of it — the materiality conclusion depends on which question is being asked, not only on the underlying facts.

VISUALIZATION IS NOT SUBSTANCE

What Does a Materiality Matrix Get Right — and Wrong?

ESRS does not require a matrix. What a matrix communicates well, and what it can quietly lose, are both worth stating precisely.

Matrix ≠ assessment.

VERIFIED: NOT REQUIRED

EFRAG GUIDANCE EFRAG's own IG 1 treats matrices as illustration only (¶¶120, 123, already cited Page 13) — the strongest available evidence that ESRS itself imposes no such requirement, since EFRAG is the body that would mandate a format if one existed. What *is* required is the substance: methodology, process, and thresholds (ESRS 2 ¶53, Page 15).

WHAT COMPRESSES ONTO TWO AXES

Severity (itself scale + scope + irremediability), likelihood, affected-stakeholder identity, geography, time horizon, value-chain location, causal connection, and evidence quality all typically feed into just two plotted axes.

ACADEMIC FINDING The information loss identified on Page 13 (Cox 2008; Thomas, Bratvold & Bickel 2014) applies here at the axis-construction stage, one step earlier than the final plotted point.

THE AGGREGATION RISK, APPLIED TO A MATRIX

Twenty low-severity environmental impacts averaged against one severe human-rights impact into a single “Social” score can plot as one moderate dot — the severe impact is not merely harder to see, it is mathematically absorbed.

DOSSIER FRAMEWORK Illustration only, applying the already-sourced ESRS 1 ¶56 / EFRAG IG 1 ¶127 aggregation findings (Page 15) to the visualization layer.

WHAT MATRICES DO WELL

Compress a multidimensional judgement into a form legible to a non-specialist board member or investor at a glance — a real, legitimate communication function EFRAG's own illustrative use of the form confirms.

THE STAKEHOLDER-AVERAGING PROBLEM

DOSSIER FRAMEWORK Workers at very high concern, investors at low concern, community at extremely high concern — a simple average reads “medium,” a figure that may describe nobody's actual experience. **EVIDENCE GAP** No source explicitly endorses or prohibits averaging stakeholder input; this is analytical caution, not a sourced ESRS prohibition.

DOUBLE MATERIALITY ON ONE CHART

“Stakeholder importance” and “business importance” axis labels are loose proxies for ESRS 1's actual, formally distinct ¶43/¶45/¶49 criteria (Page 14) — a matrix built on the looser labels risks a plotted position that does not correspond to either formal test.

KEY TAKEAWAY

A matrix can be a useful communication layer sitting on top of a rigorous assessment — but it cannot substitute for the assessment's binding substance, and no source states matrices are prohibited.

THE MAIN STANDARDS COMPARISON

ESRS vs GRI vs ISSB/IFRS — What Actually Differs?

Grounded in each standard-setter's own primary text, not consultancy summaries. GRI is not reduced to “stakeholder opinion”; ISSB is not reduced to “investors only.”

DIMENSION	ESRS	GRI	ISSB / IFRS
Materiality lens	Double: impact <i>or</i> financial <i>or</i> both (¶128)	Single: significance of impact, independent of financial implication	Single: financial materiality to primary users
Impact materiality	Explicit, formally defined (¶143)	Core and sole test	Not a standalone test; disclosed only when financially relevant
Financial materiality	Explicit, formally defined (¶149)	Explicitly excluded as a filter on impact topics	Core and sole test
Double materiality	Named, defined concept (¶137)	Not a GRI concept	Not an ISSB concept; explicitly distinguished from ESRS usage
Main users	Wide range incl. affected stakeholders and users of sustainability statements	Broad: stakeholders, investors, academics, analysts — no exclusive primacy	Investors, lenders, other creditors, exclusively (Appendix A)
Stakeholder role	Required consultation input to the process (ESRS 2 ¶53(b))	Central identification & validation input	Not a formal category; ISSB rejects an “inside-out” perspective
Value-chain scope	Own ops + upstream + downstream; “reasonable and supportable information” standard	Own ops + business relationships via cause/contribute/directly-linked	Value-chain info required where it affects financially material risk/opportunity
Human-rights treatment	Severity precedes likelihood for potential impacts (¶145)	Same rule, independently stated (p. 13)	Addressed only where it affects financial prospects
Disclosure logic	Mandatory for CSRD-scoped undertakings; process via ESRS 2 IRO-1	Voluntary global standard; documented, replicable process required	Jurisdiction-dependent: 26 jurisdictions finalized, 9 at snapshot stage (as of Jul 2026)
Typical question	“Material from the impact perspective, the financial perspective, or both?”	“Is this among our most significant impacts on people, environment, the economy?”	“Would omitting this influence an investor's, lender's, or creditor's decision?”

IS ESRS = GRI + ISSB? — NOT AS A SIMPLE SUM

Textually: ESRS 2's unified process-disclosure architecture, covering both dimensions' interdependencies in one statement (¶138, ¶153), is ESRS's own drafting. Conceptually: GRI's test is evidence-of-effect-on-people/environment; ISSB's is evidence-of-effect-on-prospects, using impact only instrumentally (Page 16). Satisfying both frameworks independently does not automatically produce ESRS's specific ¶128 either/or/both logic or ¶153 documentation requirements.

INTEROPERABLE ≠ IDENTICAL

ISSB/IFRS STANDARD

 The IFRS Foundation – EFRAG Interoperability Guidance (May 2024) achieves “a high level of alignment” while the frameworks “remain distinct standards.”

GRI REQUIREMENT

 The GRI – IFRS Foundation collaboration (May 2024) preserves ISSB's investor focus and GRI's broad-stakeholder impact focus as explicitly separate, while reducing duplicative reporting burden.

KEY TAKEAWAY

A sustainability matter does not have one universal materiality status independent of framework — its conclusion depends on who is asking and what decision the framework is designed to support.

REAL CASES, NOT HYPOTHETICALS

Case Studies — How Materiality Fails in the Real World

None of these organizations was subject to ESRS at the time. Each illustrates a failure mode a rigorous ESRS-style assessment is designed to detect — not an ESRS violation.

Cases were selected for the strength of their materiality lesson and the availability of primary or near-primary sources — a UN environmental assessment, litigation documentation from a human-rights legal organization, an ILO transnational report, and a company-commissioned independent legal review — not for name recognition. Each maps to a distinct failure mode: evidence overridden under commercial pressure; the evidence-generation process itself compromised; a physically invisible impact resisting detection; and well-documented evidence subordinated to growth priorities over a sustained period.

Rana Plaza
GARMENT · BANGLADESH · 2013

WHAT HAPPENED
Factory-building collapse; ≥1,132 killed, >2,500 injured. Cracks reported and an evacuation ordered the day before — workers sent back under threat of dismissal.

AFFECTED
Garment workers, 60–80% women, supplying global apparel brands via subcontracted factories.

MATERIALITY FAILURE
Evidence existed and was overridden by delivery-deadline pressure — not a missing-evidence case.

A rigorous DMA asks: does an official evacuation order already meet the severity/likelihood bar for immediate action, regardless of commercial cost?

Brumadinho / Vale
MINING · BRAZIL · 2019

WHAT HAPPENED
Tailings dam failure killed 272; TÜV SÜD's local subsidiary certified the dam safe four months earlier despite documented drainage problems, reportedly changing calculation methods to reach that result.

AFFECTED
272 dead; thousands with contaminated drinking water; the Paraopeba River.

MATERIALITY FAILURE
The evidence-*generation* process was compromised by the certifier's commercial dependence on Vale — not an absence of technical data.

A rigorous DMA asks: does the evidence source have a financial stake in the conclusion, and what independent verification exists?

Ogoniland / Shell
OIL & GAS · NIGERIA · UNEP 2011

WHAT HAPPENED
50+ years of contamination; ~1 million people exposed daily; benzene >900× WHO guidelines in one community; contamination up to 5m deep, invisible at the surface.

AFFECTED
Ogoni communities; estimated 25–30 years and an initial \$1bn fund needed for cleanup.

MATERIALITY FAILURE
A physically invisible, slow-accumulating impact resisted ordinary surface-level detection.

A rigorous DMA asks: does the evidence-gathering method match how this impact type actually behaves physically?

boohoo / Leicester
FAST FASHION · UK · 2020 (LEVITT REVIEW)

WHAT HAPPENED
Wages as low as £3.50/hr found (vs £8.72 Living Wage); a decade of media, academic, and parliamentary reports existed before boohoo's Board acted, by Dec. 2019 at the latest.

AFFECTED
Up to ~500 Tier 1/2 Leicester suppliers; boohoo could not produce a supplier list at all.

MATERIALITY FAILURE
Commercial growth prioritized over well-documented stakeholder evidence — in a *domestic*, not distant, value chain.

A rigorous DMA asks: does the undertaking even hold a complete supplier list, and does it treat public, corroborating evidence as evidence at all?

KEY TAKEAWAY

Each case fails materiality for a different reason — overridden evidence, compromised evidence generation, physically invisible impact, and known evidence subordinated to commercial priority. None was an ESRS violation; each is a failure mode a rigorous ESRS-style assessment is built to catch.

Sources: International Labour Organization (2020) · ECCHR, “The Safety Business” · UN Environment Programme, *Environmental Assessment of Ogoniland* (2011) · Alison Levitt QC, *Independent Review into boohoo Group PLC's Leicester Supply Chain* (Sept. 2020)

THE CAPSTONE

How Should a Rigorous Double-Materiality Assessment Actually Be Constructed?

Everything from Pages 1–19 now fits together into one operating architecture — organized by this dossier, not published as an official ESRS procedure.

ANALYTICAL SYNTHESIS — DOSSIER 2

1 Understand Context Business model, value chain, stakeholders ESRS / GRI	2 Identify Impacts Actual/potential, positive/negative, own ops/value chain ESRS / GRI	3 Characterize Impacts Severity, likelihood, time horizon, evidence ESRS / GRI
4 Assess Connection Own activity, business relationship, value chain ESRS / UNGP–OECD	5 Prioritize / Assess Materiality Methodology, thresholds, judgement, aggregation ESRS / EFRAG	6 Double-Materiality Cross-Check Impact & financial, independently, either/both/neither ESRS
7 Governance + Validation Controls, expert input, challenge, assurance readiness ESRS / ASSURANCE	8 Disclosure Material matters, IRO-1, methodology, changes, limitations ESRS	9 Monitor + Update New evidence, changed circumstances, prior-period comparison ESRS / GRI

THE 17 MASTER QUESTIONS

SYNTHESIS

1. What impact exists?	2. Actual or potential?
3. Positive or negative?	4. Who/what is affected?
5. Where does it occur?	6. How is the undertaking connected?
7. How severe is it?	8. How likely is it?
9. When does it occur?	10. What evidence supports the conclusion?
11. What uncertainty remains?	12. What threshold is applied?
13. Why material or not material?	14. Could it also be financially material?
15. What governance process validated it?	16. Can another reviewer reconstruct it?
17. What would change the conclusion next year?	

THE GOLD-STANDARD TEST

SYNTHESIS, SOURCED PER ITEM

Evidence-based — conclusions rest on supportable evidence	EFRAG
Stakeholder-informed — affected stakeholders and experts consulted	ESRS / GRI
Methodologically consistent — systematic, documented, replicable	GRI
Context-sensitive — disaggregated by country/site where material	ESRS
Traceable — methodology and criteria disclosed	ESRS
Governed — overseen and approved by governance bodies	ESRS / GRI
Assurance-ready — process is externally testable	ASSURANCE
Dynamic — updated against the prior period	ESRS / GRI
Complete / non-mechanical — no verified stopping test exists; not hidden behind arbitrary mathematics	SYNTHESIS

CLOSING DISCLAIMER

This nine-phase architecture, the seventeen questions, and the gold-standard test are this dossier's own synthesis of twenty pages of individually sourced ESRS, EFRAG, GRI, UNGP, OECD and assurance material — not an official regulatory workflow. Every element traces to a citation given across Pages 1–19.

Regulatory status note: the European Commission adopted a revised ESRS delegated act on 3 July 2026; ESRS references in this dossier should be read together with the applicable regulatory version and implementation timetable — [European Commission, 3 July 2026](#).